

Chips Snap Back

S&P 500 +1.73% off a five-week low as semiconductors lead the recovery and canceled evening strikes lift the afternoon tape. The ECB hikes. Growth Portfolio +4.72%.

THE SESSION

The market bought back what it had been selling. After three sessions of steady distribution, the S&P 500 rose +1.73% to 7,393, the Dow added +1.86%, the Nasdaq gained +2.53%, and the Russell 2000 led at +3.02% — with the recovery concentrated in precisely the names that had been sold hardest. The VIX fell 12% to 19.54. Semiconductors, the epicenter of last week's decline, carried the tape from the open and never gave it back.

The morning's producer price report ran hot on its face — headline PPI rose 1.1% in May against a 0.7% consensus, lifting the annual rate to 6.5% — but the composition told the same story as Wednesday's CPI: energy is doing the work. Core PPI rose 0.4%, in line with expectations, and the market treated the print as confirmation of a known condition rather than new information. Across the Atlantic, the ECB raised its deposit rate a quarter point to 2.25%, its first hike since September 2023, citing the inflationary pressure of the war. The June 16–17 FOMC now convenes with a hot headline complex and a peer central bank already moving.

The geopolitical tape resolved in the market's favor. The morning carried renewed escalation language out of Washington and crude whipsawed near \$90; at one o'clock, Reuters reported the strikes planned for Thursday evening had been canceled, and equities took their decisive leg higher from there. The conflict premium drained out of oil, and the energy complex — Wednesday's leader — became Thursday's laggard.

The Growth Portfolio's +4.72% session was the direct product of owning what the market wanted back: the semiconductor, AI-infrastructure, and digital-asset sleeves all participated with force, more than doubling IUSG's +2.30%. The Dividend

Strategy's +1.37% rode its own semiconductor exposure and a firm defense bid, beating DVY by nearly 80 basis points. Adobe reports after tonight's close — the next clean read on whether AI expands or displaces software demand.

IOWN Tactical: The S&P 500 sits roughly 3% below its recent high — neither the trim band nor the buy tranches are engaged. Wednesday's session and Thursday's are the same lesson taught twice: the portfolio is built to be held through both.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

SUPV +12.73% GROWTH PORTFOLIO

The Argentine financial led the entire book — the highest-beta expression of returning risk appetite, with no company-specific catalyst required.

LRCX +12.65% DIVIDEND STRATEGY

Wafer-fab equipment led the semiconductor recovery as the AI capacity-expansion thesis reasserted itself after a week of indiscriminate selling.

CRDO +11.56% GROWTH PORTFOLIO

AI networking silicon extended Wednesday's idiosyncratic strength into a full re-rating; the connectivity layer of the AI build-out caught the strongest bid in the group.

MRVL +11.13% GROWTH PORTFOLIO

Recovered another large piece of last week's drawdown, with the pending S&P 500 addition announced Friday providing a structural bid beneath the rebound.

HUT +10.06% GROWTH PORTFOLIO

Bitcoin's 3% advance to \$63,500 put operating leverage behind the miners; MARA +7.84% confirmed the group move, and IBIT +2.77% and ETHA +3.42% (Digital Asset ETF) tracked the underlying.

AMD +8.01% GROWTH PORTFOLIO

Reclaimed \$488 as the chip rebound broadened; an analyst projection of a five-fold CPU market expansion by 2030 added a fundamental tailwind.

QCOM +6.17% DIVIDEND STRATEGY

Recouped Wednesday's entire decline. Coverage of the company's AI ecosystem extending into humanoid robotics and autonomous vehicles supported the move.

GD +5.22% DIVIDEND STRATEGY

Defense caught a firm bid as Washington signals a production ramp; LMT +4.51% and CAT +4.84% rounded out the industrial recovery inside the dividend sleeve.

DECLINERS

DVN -4.10% DIVIDEND STRATEGY

Gave back Wednesday's advance nearly point for point as the canceled-strikes headline drained the conflict premium from crude.

CNX -3.28%

GROWTH PORTFOLIO

Natural gas joined the energy retracement as the de-escalation read took hold.

ADP -2.31%

DIVIDEND STRATEGY

Lagged amid continued coverage of AI pressure on white-collar hiring — a payroll processor wears the labor-market narrative directly.

CVX -2.11%

GROWTH PORTFOLIO

Retraced with crude; OKE -1.51% and VLO -0.93% completed the energy give-back across both sleeves.

HOLDINGS NEWS

Marvell's index inclusion approaches. The S&P 500 addition announced late last week — Marvell replaces Campbell's — obliges passive funds tracking the benchmark to accumulate shares, a structural source of demand independent of the AI debate.

Coinbase debuts an AI trading agent. The company introduced an AI agent capable of executing trades and paying for premium research — an early commercial expression of the agent-economy thesis inside the digital-asset sleeve.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

+1.37%

vs. DVY +0.59% | SPY +1.69%

GROWTH PORTFOLIO

✓ BEAT

+4.72%

vs. IUSG +2.30%

YEAR-TO-DATE

Dividend +14.85% vs DVY +11.22% / SPY +8.18%

Growth +18.89% vs IUSG +9.67%